

Commodity trading pitches

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The six components of a defensible trade

Research order: how the components are developed

I	II	III	IV	V	VI
Physical thesis	**Variant view**	**Valuation**	**Catalyst**	**Trade**	**Risk**
What is changing in the underlying market?	How does our forecast differ from current pricing or prevailing expectations?	What price or spread does the evidence support?	What could cause repricing, and when?	Which instrument captures the expected move?	What would invalidate the forecast?

Pitch order: how the completed pitch is presented

I	II	III	IV	V	VI
Trade	**Physical thesis**	**Variant view**	**Valuation**	**Catalyst**	**Risk**

Four techniques for generating trade ideas

Forecast revisions

Compare the new forecast with the previous release and with pre-release expectations

Ex.
USDA ending stocks cut by 10 Mt against an expected 15 Mt cut. The report is less bullish than anticipated despite the downward revision

Physical disruptions

Estimate affected production from actual operating rates, disruption duration and replacement capacity

Ex.
A 200,000 b/d unit running at 85% loses about 170,000 b/d if fully shut, before replacement supply

Inventory deviations

Compare level and change with seasonal history, previous forecasts and operating requirements

Ex.
Stocks are below the five-year average, but the shortfall was anticipated. Test whether the latest observation differs from expectations

Relative-price anomalies

Decompose the differential into transportation, storage, and financing

Ex.
$3.00 differential - $1.80 identified costs leaves $1.20 to explain

An unexplained differential is a research lead. The remainder may reflect risks or constraints still to be investigated

Screen ideas before committing research time

	Refinery outage	"Rate cuts will raise copper"
Magnitude: can the economic effect be quantified?	✓ Lost output - replacement = net barrels	✗ No volume or price effect stated
Materiality: is it large relative to the market?	✓ Net shortage compared with regional stocks and demand	✗ Rates are one of many copper drivers
Timing: will it persist within the trading horizon?	✓ Outage overlaps the contract's pricing window	✗ No horizon or date given
Evidence: can reliable data test the explanation?	✓ Run rates, stock data, shipment timing	✗ No observable that could disprove it
Expression: is there a suitable tradable instrument?	✓ Gasoline crack: RBOB vs. WTI	✗ No contract isolates the effect
	Proceed to research	**Park until restated as a measurable claim**

Proceed when all five hold. Investigate the missing evidence when a gap can be tested. Park the idea otherwise

Design research to test the hypothesis

Supply balance: Ending stocks = Beginning stocks + Supply - Demand

I. Establish the baseline

BALANCE TERM
Beginning stocks, normal supply and demand

KEY EVIDENCE
Normal production, demand and stocks against the seasonal range. The existing market forecast

WEAKENS IF
The unit was already offline or in maintenance, so the baseline includes the loss

II. Measure the disruption

BALANCE TERM
Supply falls

KEY EVIDENCE
Actual operating rate and expected duration, not nameplate capacity

WEAKENS IF
Restart is earlier than assumed, or the unit was running below capacity

III. Identify the offsets

BALANCE TERM
Supply recovers

KEY EVIDENCE
Spare capacity at other refiners, import cargoes, stock draws, demand response

WEAKENS IF
Other refiners can raise runs and cargoes arrive before stocks fall

IV. Forecast the balance

BALANCE TERM
Ending stocks

KEY EVIDENCE
Remaining shortage, its duration and the inventory path against the baseline

WEAKENS IF
Revised stocks remain inside the baseline forecast range

Quantify the effective shortage and test assumptions

100,000	–	80,000	=	20,000	×	14	=	280,000
b/d lost production		b/d replacement supply		b/d net shortage		days expected duration		barrels cumulative shortage

Three research tests

Scale: compare the shortage with regional inventories and consumption

Timing: determine when replacement supply can arrive

Forecast difference: compare the revised inventory outlook with the baseline forecast and market expectations

Scenarios: which assumptions drive the result

Case	Replaced b/d	Days	Net barrels
Loose	90,000	10	100,000
Base	80,000	14	280,000
Tight	60,000	21	840,000

Estimate fair value & Identify the pricing opportunity

I. Identify the price

Choose the contract, calendar spread, regional differential or processing spread most directly affected by the forecast

II. Establish a benchmark

Calendar spreads: financing, storage, stocks, prompt scarcity

Regional: replacement cost, freight, quality

Processing: input and output prices, yields

Outright: scenario balances, past responses

III. Estimate the pricing difference

Compare our estimated value with the observed price at matching dates, units, locations and contract periods. State the assumptions that produce the difference

IV. Identify the catalyst

Name the report, shipment, production development or policy decision that could change market expectations, and when it arrives

Observed price, estimated value, repricing. The price is observed and the estimate rests on our stated assumptions. Repricing is the gap between them and occurs only if the catalyst arrives

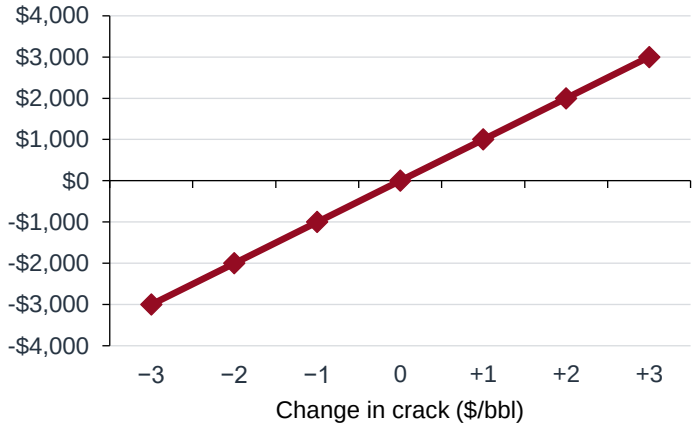
Why a crack, not outright gasoline? An outright position also bets on crude. The crack isolates the refining margin the outage affects

1:1 gasoline crack ($/bbl) =
RBOB ($/gal) × 42 - WTI ($/bbl)
Gross spread measure. Check contract specifications and hedge ratios before execution.

Construct the trade and define its risks

Instrument	Long RBOB / short WTI, 1:1. Confirm exact contract months, expiry and leg ratio
Valuation	Entry: observed crack. Target: estimated crack (slide 7)
Catalyst	Regional stock draws and restart news. Holding period ends at resolution
Payoff	Δcrack × 1,000 bbl × contracts, less transaction costs. Size the adverse case
Invalidation	Early replacement cargoes or restart: thesis fails whatever the price

Hypothetical payoff, one spread (1,000 bbl)



Example: +$2/bbl × 1,000 bbl = $2,000 gross, before costs.

Market-price stop versus fundamental invalidation. A stop limits loss from adverse price moves. Invalidation is evidence that the shortage will not occur. Review the position on either

How to structure and edit the final pitch

I.	**Trade recommendation**	Instrument, direction, entry, target, timeframe
II.	**Physical-market setup**	Relevant supply-demand mechanism
III.	**Core evidence**	Strongest chart or calculation behind the forecast
IV.	**Variant view and valuation**	Why our estimate differs from current pricing
V.	**Catalyst**	What could cause repricing in the holding period
VI.	**Trade economics and risks**	Payoff, adverse scenarios, invalidation
VII.	**Final recommendation**	Position and assumptions required for success

Three editorial rules

Every chart must support a specific claim.

Every number must contribute to the forecast, valuation, or risk assessment.

Detailed calculations, secondary evidence, and alternative scenarios belong in backup slides.

Student presentations in two weeks

Format

5-10 min

presentation

~3-5 min

questions and discussion

Up to 5

slides in the main deck

***Backup**

sources and preliminary calculations for questions

What we expect

I. **Original trade idea.** Identify a specific commodity opportunity. Explain what attracted your attention and why it merits investigation.

II. **Market understanding.** Explain the supply-demand relationships and the economic mechanism behind your hypothesis.

III. **Research approach.** Identify the data, reports and information needed. Explain what you would investigate and which comparisons or calculations matter.

IV. **Preliminary analysis.** Present evidence and calculations achievable in two weeks, with key assumptions and unresolved questions.

V. **Hypothetical trade.** Propose an instrument, direction and timeframe. Explain the expected price response, catalysts and principal risks.

Evaluation criteria

Originality and quality of the idea

Understanding of the commodity and physical market

Research initiative and selection of evidence

Economic reasoning and preliminary analysis

Clarity, curiosity, and ability to defend the hypothesis

idea, how you would research it, and why the proposed trade could work. Complete valuations, nd fully verified price targets are not required.

*calculations could stay theoretical or somewhat raw due to the limited time available

Appendix: research sources

Purpose	Sources	Most useful for	Access
Fundamental data	**EIA (eia.gov), USDA (usda.gov), IEA (iea.org), USGS (usgs.gov), LME (lme.com), Company reports**	Supply, demand and inventory balances. Mine output; company capacity and outage statements	Mostly free. some IEA and LME data paid
Trade flows	**UN Comtrade (comtradeplus.un.org), Port and customs statistics**	Bilateral import and export volumes by commodity	Free. API registration
Futures and positioning	**CME Group (cmegroup.com), ICE (ice.com), LME (lme.com), CFTC (cftc.gov)**	Prices, curves, volumes, open interest, and Commitments of Traders positioning	Free delayed data; real-time paid
Market news and specialist research	**Reuters (reuters.com), Bloomberg (bloomberg.com), Argus (argusmedia.com), Platts (spglobal.com/commodity-insights), Kpler (kpler.com)**	Event news, price assessments, vessel and cargo tracking	Subscription: Bloomberg, Argus, Platts, Kpler
Professional methodology	**CME Group education (cmegroup.com/education), Trafigura, Commodities Demystified (commoditiesdemystified.info)**	Contract mechanics, spreads, and how trading firms operate	Free